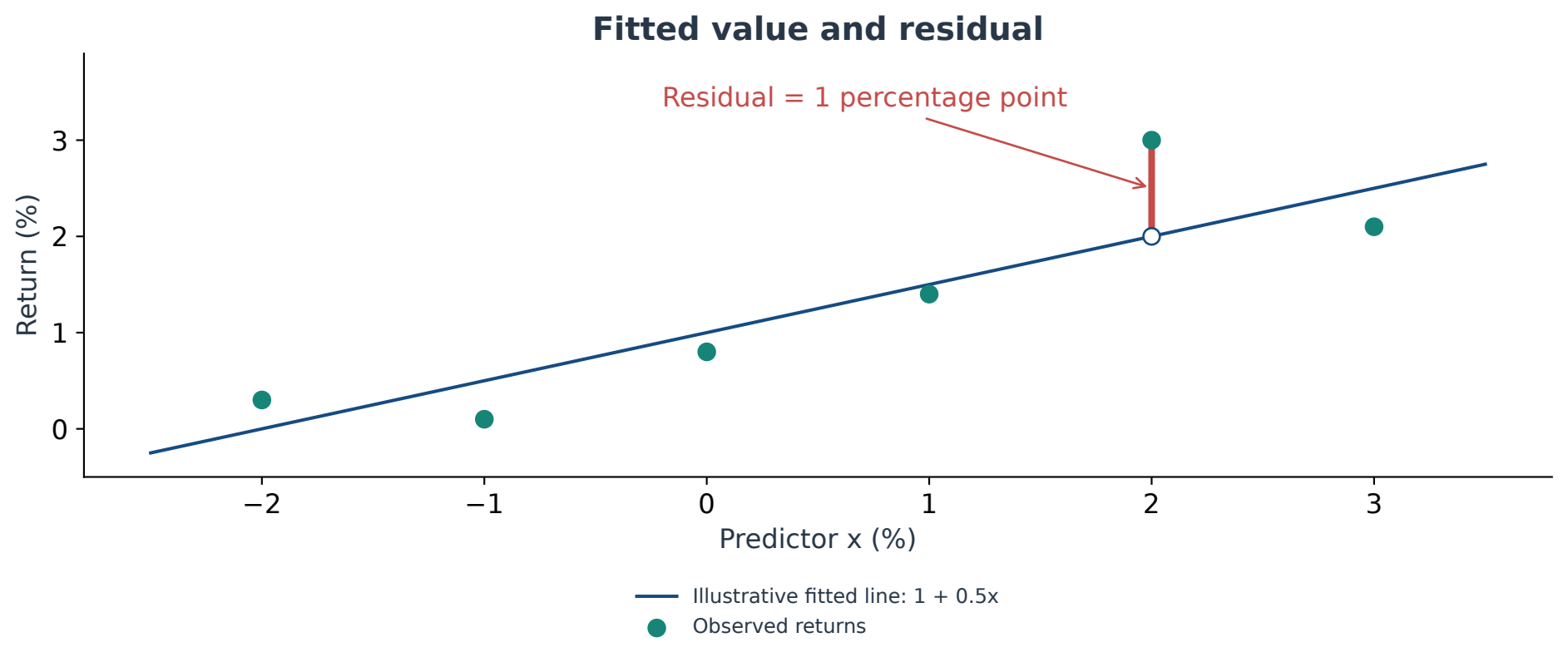
Fitted value and residual
Residual = 1 percentage point
Return (%)
3
2
1
0
−2
−1
0
1
2
3
Predictor x (%)
Illustrative fitted line: 1 + 0.5x
Observed returns